Government of Canada Gouvernement du Canada

DAOD 6002-9, Information Technology Asset Management

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1. Introduction

Date of Issue: 2013-11-28

Application: This DAOD is a directive that applies to employees of the Department of National Defence (DND employees) and an order that applies to officers and non-commissioned members of the Canadian Armed Forces (CAF members).

Approval Authority: Assistant Deputy Minister (Information Management) (ADM(IM)) / Chief Information Officer (CIO)

Enquiries: Director Defence Information Management Planning (DDIMP)

2. Definitions

life cycle materiel manager (*gestionnaire du cycle de vie du matériel*)

> The NDHQ directorates or other organizations with designated responsibility for the design, engineering, maintenance and disposal functions for a system throughout the life cycle of the hardware, system software, applications software and communication facilities. (Defence Terminology Bank record number 1874)

materiel management (*gestion du matériel*)

> All activities necessary to acquire, hold, use and dispose of materiel, including the notion of achieving the greatest possible efficiency throughout the life cycle of materiel assets. (*Policy on Management of Materiel*, Treasury Board)

operational authority (*autorité opérationnelle*)

> The person who has the authority to define requirements and operating principles, set standards and accept risk within their area of responsibility. (Defence Terminology Bank record number 43435)

technical authority (*autorité technique*)

The person who has the authority to set technical specifications and standards, manage configurations, provide technical advice and monitor compliance within their area of responsibility. (Defence Terminology Bank record number 43437)

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3. Overview

3.1 Information technology (IT) assets consist of all elements of software and hardware that are found in the business environment. The decision to acquire, develop or maintain an IT asset must be predicated on a thorough analysis of business requirements, including a complete evaluation of the costs involved to support the IT asset throughout its life cycle. IT asset management (ITAM) is a set of processes for tracking and managing the physical, financial and contractual aspects of IT assets throughout their life cycle.

3.2 The Treasury Board *Policy on Management of Materiel* and *Policy on Investment Planning – Assets and Acquired Services* provide direction for the efficient management of Government of Canada (GC) assets and acquired services. GC departments are required to establish an asset management framework for the effective integration of programme, expenditure, financial and human resources related considerations, including departmental procedures, processes and systems.

3.3 The Assistant Deputy Minister (Material) is the functional authority for materiel management and procurement for the DND and the CAF. The DAOD 3000 series, along with the A-LM-007-014/AG-001, *Canadian Forces Supply Manual (CFSM)*, provide direction and guidance on materiel acquisition and support (MA&S) programmes.

3.4 In addition to standard MA&S processes, ITAM is required in order to provide a complete picture of IT operations, IT assets, IT services and their interdependencies.

3.5 As the Chief Information Officer for the DND and the CAF, the ADM(IM) is responsible for the management of IT services and ensuring their alignment with business objectives and operational priorities.

3.6 This DAOD is part of the *DND and CF IM and IT Policy Framework* and should be read in conjunction with other relevant ADM(IM) policies, instructions, directives, standards and guidance.

Objectives

3.7 The objectives of this DAOD are to ensure that:

a. IT assets are efficiently acquired and actively managed;
b. IT assets are properly controlled and that accurate and reliable information about IT assets is available when and where it is needed;
c. expenditures on IT assets and IT services are not treated as unmanaged operating expenses; and
d. detailed IT asset financial data is captured to enable informed and strategic decisions.

Expected Results

3.8 The expected results of this DAOD are:

a. improved visibility and accountability of IT assets and expenditures;
b. reduced total cost of ownership and optimized resource efficiencies throughout the IT asset life cycle; and
c. improved productivity through the higher availability of common IT assets.

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4. Requirements

ITAM and IT Service Management (ITSM)

4.1 The Information Technology Infrastructure Library (ITIL) framework of best practices for ITSM describes the processes, functions and roles for the service life cycle. As service delivery necessitates the installation, moving and configuration of IT assets, the service life cycle and the IT asset life cycle are interdependent. Effective ITAM enables ITSM to provide greater service continuity and availability, and to properly manage the costs of IT services.

Green Procurement and Green IT

4.2 As a signatory to the Federal Sustainability Development Strategy for Canada, DND is committed to enabling the procurement, operation and disposal of its IT assets in a manner that protects the environment and supports sustainable development objectives. DAOD 3015-1, *Management of Green Procurement*, explains how the sustainability programme is to be implemented for the DND and the CAF, as well as defines the requisite roles and responsibilities for the management of the programme.

4.3 In addition to green procurement activities, green IT is an initiative that promotes the optimization of IT assets and processes, including opportunities for:

a. server virtualization;
b. power-saving strategies for hardware;
c. electronic forms and digital signatures; and
d. recycling and disposal programmes.

4.4 DND employees and CAF members must ensure that green requirements and directives are integrated into the decision-making processes when procuring or developing any IT asset.

Controlled Goods

4.5 DND employees and CAF members must ensure that any IT asset which is considered a controlled good, including cryptographic equipment, is handled, disposed of, and reported on, in accordance with DAOD 3003-0, *Controlled Goods*, and DAOD 3003-1, *Management, Security and Access Requirements Relating to Controlled Goods*.

IT Asset Sensitivity

4.6 DND employees and CAF members must ensure that IT assets of a sensitive nature and IT assets used for sensitive systems are managed commensurate with the requirements of the DAOD 6003 series and any applicable standards.

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5. Information Technology Asset Life Cycle

General

5.1 IT asset life cycle management is the set of processes which cover the entire lifespan of an IT asset, from the identification of a requirement through to disposal. The phases of life cycle management include:

a. planning;

b. request and approval;
c. acquisition or development;
d. implementation;
e. in-service support and maintenance; and
f. retirement and disposal.

Planning

5.2 The *Policy on Investment Planning – Assets and Acquired Services* describes investment planning as the function of allocating and reallocating resources to new and existing assets and acquired services that are essential to programme delivery.

5.3 Effective planning ensures resources are allocated in a manner that clearly supports GC, DND and CAF priorities. Planning must also consider areas of risk, projected programme outcomes and sustainable development.

Request and Approval

5.4 The decision to invest resources to acquire or develop IT assets must be based on a thorough analysis of requirements, including a complete evaluation of the costs involved to support the IT asset throughout its life cycle. An appropriately scaled business case must be developed and vetted through a formal request and approval process prior to initiating any IT acquisition or software development activities. The required elements for the business case are outlined in IMS 6002-9-1, *Business Case Requirements for IT Assets.*

Acquisition or Development

5.5 Requests for acquisition or development of IT assets must be endorsed by the ADM(IM) at the enterprise level. Accordingly, the ADM(IM) may:

a. consolidate requests as appropriate;
b. determine whether requests meet a unique requirement that is not met by the current inventory of IT assets; and
c. assess requests against current DND and CAF priorities, available IT asset inventory and the catalogue of supported software products.

5.6 DND employees and CAF members must ensure that all IT assets are recorded in the ITAM repository in accordance with DND and CAF standards.

Implementation

5.7 The ITAM repository must include any change of IT asset status. Once the IT asset has been successfully incorporated into the IT infrastructure (ITI), it must be actively managed throughout the support and maintenance life cycle.

In-service Support and Maintenance

5.8 The ITIL framework of best practices for IT service management and delivery includes the processes of change management, release management and configuration management. These key processes minimize disruption to business and operations when incorporating any new IT assets to the ITI.

5.9 Both the configuration management and ITAM processes require the collection and maintenance of data for ITI components. However, the specific attributes of each ITI component that are required for the two

processes are different.

5.10 Configuration management requires data on how items are related and interact with each other. ITAM requirements on the other hand focus on the individual IT assets, including attributes such as:

a. financial data on the acquisition and on-going support of IT assets;
b. maintenance;
c. licensing and usage requirements;
d. physical and virtual locations;
e. originating project activity; and
f. life cycle materiel manager (LCMM).

5.11 In the DND and the CAF, materiel assets are assigned to an LCMM who is responsible for the active management of the IT asset during its entire life cycle. IT assets are also considered materiel assets. DND employees and CAF members must manage IT assets in accordance with A-LM-007-014/AG-001, including the routine auditing of the IT asset and its related information stored in the ITAM repository.

Retirement and Disposal

5.12 Continual analysis of ITAM data is required to ensure IT assets exceeding their useful life are retired, and that under-utilized IT assets are reassigned in order to optimize the benefits they deliver. Once an IT asset has been deemed beyond its useful life or it is no longer required, it must be retired and disposed of in accordance with all applicable materiel management, financial write-off and security requirements, including:

a. the Computers for Schools program for donations of functioning IT assets;
b. secure data removal procedures with guidance issued by the Communications Security Establishment Canada and the Royal

Canadian Mounted Police;

c. financial write-off and loss reporting; and
d. the Public Works and Government Services Canada *Federal Electronic Waste Strategy*.

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6. Consequences

Consequences of Non-Compliance

6.1 Non-compliance with this DAOD may have consequences for both the DND and the CAF as institutions, and for DND employees and CAF members as individuals. Suspected non-compliance will be investigated. The nature and severity of the consequences resulting from actual non-compliance will be commensurate with the circumstances of the non-compliance.

Note – In respect of the compliance of DND employees, see the Treasury Board *Framework for the Management of Compliance* for additional information.

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7. Responsibilities

Responsibility Table

7.1 The following table identifies the responsibilities associated with this DAOD:

The …	is or are responsible for …

ADM(IM)	• designating the IT Asset Manager.
operational authorities	• identifying IT asset requirements and obtaining ADM(IM) endorsement through the approval process.
Director General Enterprise Application Services	• ensuring requests for the development and support of software applications are endorsed through the approval process.

IT Asset Manager	• developing standards, processes and procedures for:
	  ◦ ITAM; and
	  ◦ the endorsement of IT asset acquisition and development requirements;
	• providing and managing repositories for the storage of ITAM information;
	• monitoring and reporting on the accuracy and completeness of enterprise IT asset information; and
	• notifying the ADM(IM) of any non-compliance with this DAOD.

technical authorities	• performing life cycle materiel management for IT assets within their area of responsibility; • maintaining accurate information in the ITAM repository; • ensuring compliance with licensing and contractual obligations; and • performing routine audits of IT assets within their area of responsibility to ensure repository accuracy.

DND employees and CAF members	• ensuring that all IT asset requests are raised through the local chain of command into the approval process; • ensuring that no IT asset within their area of responsibility is acquired or developed locally without ADM(IM) endorsement; and • complying with all GC, DND and CAF policies, instructions, directives and standards in respect of ITAM.

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8. References

Acts, Regulations, Central Agency Policies and Policy DAOD

- *Defence Production Act*
- *Financial Administration Act*
- *Framework for the Management of Compliance*, Treasury Board
- *Policy Framework for the Management of Assets and Acquired Services*, Treasury Board
- *Policy on Information Management*, Treasury Board
- *Policy on Investment Planning – Assets and Acquired Services*, Treasury Board
- *Policy on Management of Information Technology*, Treasury Board
- *Policy on Management of Materiel*, Treasury Board
- *Policy on the Management of Projects*, Treasury Board
- *Directive on Disposal of Surplus Materiel*, Treasury Board
- *Directive on Management of Information Technology*, Treasury Board

- *Federal Electronic Waste Strategy*, Public Works and Government Services Canada
- *Guideline for the Disposal of Federal Surplus Electronic and Electrical Equipment*, Public Works and Government Services Canada
- DAOD 6002-0, *Information Technology*

Other References

- DAOD 3000-0, *Materiel Acquisition and Support*
- DAOD 3003-0, *Controlled Goods*
- DAOD 3003-1, *Management, Security and Access Requirements Relating to Controlled Goods*
- DAOD 3015-0, *Green Procurement*
- DAOD 3015-1, *Management of Green Procurement*
- DAOD 6003-0, *Information Technology Security*
- *DND and CF IM and IT Policy Framework*
- A-LM-007-014/AG-001, *Canadian Forces Supply Manual (CFSM)*
- IMS 6002-9-1, *Business Case Requirements for IT Assets*
- *Clearing and Declassifying Electronic Data Storage Devices – ITSG-06*, Communications Security Establishment Canada
- *Security Equipment Guide*, Royal Canadian Mounted Police
- *Computers for Schools*, Industry Canada
- *Planning for a Sustainable Future: A Federal Sustainable Development Strategy for Canada*, Environment Canada
- Information Technology Infrastructure Library (available in English only)

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